

FOUNDATIONARY

UK Sole Trader Legal Checklist

12 Essential Documents Every UK Sole Trader Needs

Why This Matters

Most UK sole traders are missing critical legal documents that protect their business. Operating without these foundations exposes you to: unpaid invoices, scope disputes, GDPR fines, and unprofessional presentation. This checklist covers everything you need.

✓ Your Essential Documents Checklist

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ESSENTIAL

Client Contract / Service Agreement

Legal Protection

The foundation of every client engagement. Without this, you have no enforceable scope or payment terms.

- Clear scope of work
- Payment terms and schedules
- Intellectual property ownership
- Limitation of liability
- Termination conditions

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REQUIRED

Terms & Conditions

Legal Framework

Your operating rules for every engagement. Includes Late Payment Act 1998 statutory interest (8% above base rate).

- Late payment remedies
- Refund and cancellation policy
- Client responsibilities
- Limitation of liability

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LEGAL REQUIREMENT

GDPR Privacy Policy

ICO Compliance

Required by UK law for anyone collecting personal data. ICO can fine businesses of all sizes for non-compliance.

- Data collection specifics
- Lawful basis for processing
- Retention periods
- Data subject rights
- Third-party processors

④

BUSINESS

Professional Invoice Template

Cash Flow

Legally required elements: unique invoice number, your details, client details, description, amount, payment terms.

- Sequential numbering system
- Payment due dates
- Bank details
- VAT requirements if registered

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MARKETING

Professional Bio

Brand Identity

Two versions for different contexts: 150-word for websites/proposals, 50-word for social media/email signatures.

- Highlights expertise
- Positions unique value
- Built around client needs
- Written in your tone

6**MARKETING****Elevator Pitch (3 Versions)****Client Acquisition**

Quick, compelling explanations for networking, social media, and sales conversations.

- 30-second version for networking
- 60-second version for meetings
- Written version for proposals

7**PROFESSIONAL****LinkedIn Profile Script****Online Presence**

Optimized headline, about section, and experience descriptions for your professional profile.

- Keyword-optimized headline
- Compelling about section
- Experience highlights

8**CLIENT RELATIONS****Client Welcome Email Sequence****Professionalism**

Automated emails that set expectations, build trust, and reduce scope creep before work starts.

- Confirmation email
- Onboarding email

- Preparation checklist

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FINANCIAL

Late Payment Letters (3 Templates)

Payment Recovery

Escalating templates: friendly reminder, firm notice, final demand with statutory interest reference.

- Level 1: Friendly reminder
- Level 2: Formal notice
- Level 3: Final demand + statutory interest

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PRESENTATION

Service Description Sheets

Clarity

Clear, professional descriptions of each service you offer for proposals, website, and client discussions.

- What's included
- Delivery timeline
- Pricing structure

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FINANCIAL

Business Bank Account

Financial Separation

Separate personal and business finances. Makes accounting easier and presents a professional image.

- Many offer free banking for 12-24 months
- Integration with accounting software
- Clear audit trail for HMRC

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LEGAL

HMRC Registration (UTR Number)

Tax Compliance

Required if earning over £1,000 from self-employment. Must register by 5th October following the tax year you start.

- Register for Self Assessment
- Receive Unique Taxpayer Reference (UTR)
- File annual tax return by 31st January
- Pay tax by 31st January + 31st July (payments on account)

Your Progress

0/12

Completed

12

Remaining

0%

Progress